A great business (center column), over time (the *x*-axis), will produce rising shareholder value (the *y*-axis) as long as it is bought at a good price (left-hand column), and managerial decisions (right-hand column) avoid extinction in the market, do better than simply matching market rate, and instead lead to increased value in the company.

To witness these tenets in action, refer to the case studies in Chapter 4.

The Intelligent Investor

The most distinguishing trait of Buffett's investment philosophy is the clear understanding that, by owning shares of stock, he owns businesses, not pieces of paper. The idea of buying stock without understanding the company's operating functions—including its products and services, inventories, working capital needs, capital reinvestment needs (e.g., plant and equipment), raw material expenses, and labor relations—is unconscionable, says Buffett. In the summation of *The Intelligent Investor*, Benjamin Graham wrote, "Investing is most intelligent when it is most businesslike." These words are, Buffett often says, "the nine most important words ever written about investing."

Investors have a choice: They can decide to conduct themselves like the owner of a business, with all that implies, or spend their time trading securities just for the sake of being in the game—or indeed for any reason other than business fundamentals.

Owners of common stocks who perceive they merely own a piece of paper are far removed from the company's financial statements. They behave as if the market's ever-changing price is a more accurate reflection of their stock's value than the business's balance sheet and income statement. They draw or discard stocks like playing cards. Buffett considers this the height of foolishness. In his view, there's no difference between owning the company and owning a share of it, and the same mentality should apply to both. "I am a better investor because I am a businessman," confesses Buffett, "and a better businessman because I am an investor."[32]

Buffett is often asked what types of companies he will purchase in the future. First, he says, he will avoid commodity businesses and managers in whom he has little confidence. What he will purchase is the type of